MOVEMENT CHURCH >

financial statements

>YEAR ENDED JULY 31, 2026

MAC LLP
CHARTERED PROFESSIONAL ACCOUNTANTS

MOVEMENT CHURCH >

financial statements

>YEAR ENDED JULY 31, 2026

index

Independent auditor's report....1 - 2
Statement of financial position....3
Statement of operations and changes in fund balances....4
Statement of cash flows....5
Notes to financial statements....6 - 10

mac
Chartered Professional Accountants

510 Weber Street North, Waterloo, Ontario N2L 4E9
30 Arthur Street South, Elmira, Ontario N3B 2M7
T 519.725.2600 TF 1.877.725.2611 www.mac-ca.com

INDEPENDENT AUDITOR'S REPORT

To the Members of Movement Church:

Qualified Opinion

We have audited the financial statements of Movement Church, the "Church", which comprise the statement of financial position as at July 31, 2026, and the statements of operations and changes in fund balances, and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Church as at July 31, 2026, and the results of its operations and its cash flows for the year then ended in accordance with Canadian Accounting Standards for Not-for-Profit Organizations.

Basis for Qualified Opinion

In common with many not-for-profit organizations, the Church derives revenue from donations from interested persons, the completeness of which is not susceptible to satisfactory audit verification. Accordingly, our verification of these revenues was limited to the amounts recorded in the records of the Church. Therefore, we were unable to determine whether any adjustments might have been found necessary with respect to donation revenues, excess of revenues over expenses, and cash flows for the years ended July 31, 2026 and July 31, 2025 and current assets and net assets as at July 31, 2026 and July 31, 2025. Our conclusion on the financial statements as at and for the year ended July 31, 2026 was modified accordingly because of the possible effects of this limitation in scope.

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Church in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Canadian Accounting Standards for Not-for-Profit Organizations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Church's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Church or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Church's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Church's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Church's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Church to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MAC LLP

Waterloo, Ontario
October 13, 2026

LICENSED PUBLIC ACCOUNTANTS
CHARTERED PROFESSIONAL ACCOUNTANT

MOVEMENT CHURCH >

statement of financial position

>JULY 31, 2026

	2026	2025
assets		
current		
Cash	$ 253,515	$ 153,006
Accounts receivable	2,250	5,697
Government remittances recoverable	21,404	19,507
Prepaid expenses	3,984	8,785
	281,153	186,995
non-current		
Capital assets (Note 3)	1,196,403	1,249,563
	$ 1,477,556	$ 1,436,558
liabilities		
current		
Accounts payable and accrued liabilities	$ 59,417	$ 53,241
Government remittances payable	21,298	17,224
Deferred revenue (Note 5)	30,347	4,440
Notes payable (Note 7)	300,000	300,000
Current portion of long term debt	541,768	24,999
	952,830	399,904
non-current		
Long term debt (Note 6)	-	541,753
Deferred capital contribution (Note 8)	252,435	289,921
	1,205,265	1,231,578
net assets		
General	210,854	90,728
Missions	61,437	114,252
	272,291	204,980
	$ 1,477,556	$ 1,436,558

Approved on behalf of the board:

Director

Director

MOVEMENT CHURCH >

statement of operations and changes in fund balances

>YEAR ENDED JULY 31, 2026

	general	missions	2026 total	2025 total
revenue				
Donations	$ 1,375,299	$ 142,043	$ 1,517,342	$ 1,402,614
Other	193,074	-	193,074	176,751
Registration	54,599	-	54,599	68,762
	1,622,972	142,043	1,765,015	1,648,127
expenses				
Administrative	50,592	-	50,592	49,180
Advertising	854	-	854	3,849
Amortization	72,840	-	72,840	75,479
Audio, video and media (Note 9)	83,786	-	83,786	52,683
Bank charges and interest	29,310	-	29,310	29,611
Cafe	8,998	-	8,998	10,979
Facilities	171,299	-	171,299	208,521
Interest on long term debt	22,499	-	22,499	23,490
Ministry	215,005	-	215,005	184,894
Missions	-	194,858	194,858	51,220
WOD/Outreach	133,270	-	133,270	122,530
Professional fees	13,012	-	13,012	20,147
Salaries and benefits	701,381	-	701,381	853,942
	1,502,846	194,858	1,697,704	1,686,525
excess of revenue over expenses for year	120,126	(52,815)	67,311	(38,398)
balance, beginning of year	90,728	114,252	204,980	243,378
balance, end of year	$ 210,854	$ 61,437	$ 272,291	$ 204,980

MOVEMENT CHURCH >

statement of cash flows

YEAR ENDED JULY 31, 2026

	2026	2025
operating activities		
Excess of revenue over expenses for year	$ 67,311	$ (38,398)
Adjustments for:		
Amortization	72,840	75,479
Recognition of deferred revenue	(4,440)	(129,064)
Recognition of deferred capital contributions	(37,486)	(45,541)
	98,225	(137,524)
Changes in non-cash working capital:		
Accounts receivable	3,447	8,929
Government remittances recoverable	(1,897)	10,418
Deferred revenue	30,347	4,440
Prepaid expenses	4,801	(2,599)
Deferred capital contributions	-	220,853
Accounts payable and accrued liabilities	6,176	16,046
Government remittances payable	4,074	2,039
	46,948	260,126
	145,173	122,602
financing activities		
Repayment of long term debt	(24,984)	(23,992)
Notes payable	-	300,000
	(24,984)	276,008
investing activities		
Purchase of capital assets	(19,680)	(310,785)
Increase in cash	100,509	87,825
Cash balance, beginning of year	153,006	65,181
cash balance, end of year	$ 253,515	$ 153,006

MOVEMENT CHURCH >

notes to financial statements

>JULY 31, 2026

1. purpose of organization

The mission of Movement Church, the "Church" is to administer the spiritual needs of the congregation. The Church operates in Woodstock, Ontario and it is incorporated under the Canada Corporations Act as a not-for-profit organization and is a registered charity for Canadian Income Tax purposes.

2. significant accounting policies

Basis of Accounting - These financial statements have been prepared in accordance with Canadian accounting standards for not-for-profit organizations.

Revenue Recognition - The Church follows the deferral method of accounting for contributions. Unrestricted contributions are recognized as revenue when received. Restricted contributions are recognized in the year in which the related expenses are incurred.

Restricted contributions for the purchase of land, building and equipment that will be amortized are deferred and recognized on the same basis as the amortization for the related land, building and equipment. Restricted contributions for the purchase of land, buildings and equipment that will not be amortized are recognized as direct increases in net assets.

Other income includes fundraising income, rental income, cafe income, merchandise sales and government subsidies.

Rental income, cafe income and merchandise revenues are recognized when the sales are rendered.

Government subsidies are recognized as earned.

Registrations income are recognized when the event occurs.

Fund Accounting - The Church maintains accounts in accordance with the principles of fund accounting. Fund balances of the Church are classified for accounting and reporting purposes into following funds to be used according to the directions of the donor or as determined by the Church.

The General Fund reflects contributions received towards the operation of the Church that have not been designated to a separate fund or project.

The Missions Fund reflects contributions specifically designated by donors to support mission activity plus an additional allocation from the general fund as determined by the Board.

Financial Instruments

Initial measurement - The Church initially measures its financial assets and liabilities originated or exchanged in arm's length transactions at fair value. Financial assets and liabilities originated or exchanged in related party transactions are initially measured at cost.

The cost of a financial instrument in a related party transaction depends on whether the instrument has repayment terms. If it does, the cost is determined using its undiscounted cash flows less any impairment losses previously recognized by the transferor. Otherwise, the cost is determined using the consideration transferred or received by the Church in the transaction.

Subsequent measurement - The Church subsequently measures all its financial assets and financial liabilities at amortized cost, except for investments in equity instruments that are quoted in an active market, which are measured at fair value. Changes in fair value are recognized in net income, in the period incurred.

Financial assets measured at amortized cost include cash and accounts receivable.

The Church has not designated any financial asset or liability to be measured at fair value.

Transaction costs - The Church recognizes its transaction costs attributable to financial instruments subsequently measured at fair value and to those originated or exchanged in a related party transaction in income in the period incurred. Transaction costs related to financial instruments originated or exchanged in an arm's length transaction that are subsequently measured at costs or amortized cost are recognized in the original cost of the instrument. When the instrument is measured at amortized cost, transaction costs are recognized in income over the life of the instrument using the straight line method.

Impairment - For financial assets measured at cost or amortized cost, the Church determines whether there are indications of possible impairment. When there are, and the Church determines that a significant adverse change has occurred during the period in the expected timing or amount of future cash flows, a write down is recognized in income. If the indicators of impairment have decreased or no longer exist, the previously recognized impairment loss may be reversed to the extent of the improvement. The carrying amount of the financial asset may be no greater than the amount that would have been reported at the date of the reversal had the impairment not been recognized previously. The amount of the reversal is recognized in net income.

Contributed Materials and Services - The Church is dependent upon many hours of service contributed by volunteers. Because of the difficulty in determining their fair value, contributed services are not recognized in these financial statements.

Deferred Capital Contributions - Contributions received for capital assets are deferred in the accounts and amortized over the same term and on the same basis as the related capital asset. The deferred capital contributions balance on the Statement of Financial Position represents the contributions received for capital assets less the amount amortized on the Statement of Operations.

Capital Assets and Amortization - Capital assets are recorded at cost. Amortization is provided in the accounts using the following methods and annual rates:

Asset	Method	Rate
Building	Reducing balance	4%
Computer	Straight line	3 years
Audio visual equipment	Reducing balance	8%

Cloud Computing Arrangements - At the inception of a cloud computing arrangement, the Church allocates the consideration to significant separable elements based on their specific sales price. Development costs and costs related to the right to use a tangible asset are recognized according to the applicable accounting policies for such elements.

To account for expenditures in a cloud computing arrangement that fall within the scope of AcG-20, Customer's Accounting for Cloud Computing Arrangements, the Church has opted for the simplification approach. Accordingly, such expenditures are treated as the supply of services and recognized as an expense when the services are received. These expenses are presented under the "Audio, video, and media" line on the statement of operations.

The Church recognizes prepayments as an asset when payments are made in advance for services not yet received. These prepayments are subsequently expensed as the services are consumed.

Costs related to implementation activities, including configuration and customization, are expensed as incurred unless they meet the criteria for capitalization under other applicable accounting standards.

3. capital assets

	cost	accumulated amortization	net 2026	net 2025
Land	$ 145,000	$ -	$ 145,000	$ 145,000
Buildings	1,974,078	968,278	1,005,800	1,068,230
Audio visual equipment	101,656	57,537	44,119	36,333
Computers	3,885	2,401	1,484	-
	$ 2,224,619	$ 1,028,216	$ 1,196,403	$ 1,249,563

4. bank indebtedness

The Church has a $150,000 revolving demand loan secured by a general security agreement over all the assets and real property of the Church with a carrying value of $1,150,800. Interest is charged at the bank's prime lending rate plus 2.20%.

5. deferred revenue

The balance represents donations and registrations received for events to be held in future years.

Changes in the deferred revenue are as follows:

	2026	2025
Balance, beginning of year	$ 4,440	$ 129,064
Amounts received during the year	30,347	4,440
Amounts recognized as revenue in the year	(4,440)	(129,064)
Balance, end of year	$ 30,347	$ 4,440

6. long term debt

	2026	2025
Mortgage repayable in monthly instalments of $3,957, including interest at 4.05%, due November 2026, secured by a building and land with a carrying value of $1,150,800	$ 541,768	$ 566,752
Less portion due on demand and within one year	541,768	24,999
	$ -	$ 541,753

The aggregate amount of payments required on the long term debt is as follows:

2027	$ 541,768

7. notes payable

The Church holds a promisory note from a member of the board of directors in the amount of $300,000 (2025 - $300,000) that bears interest at 6%. This transaction is in the normal course of business and is measured at exchange amount. During the year, no repayments were made and the full amount is due on or before October 5, 2026.

8. deferred capital contributions

Balance represents unamortized portion of contributions restricted to finance capital purchases.

Changes in the deferred capital contributions are as follows:

	2026	2025
Balance, beginning of year	$ 289,921	$ 114,609
Amounts received during the year invested in capital assets	-	220,853
Amounts amortized to income	(37,486)	(45,541)
Balance, end of year	$ 252,435	$ 289,921

9. cloud computing arrangements

The Church applies the simplification method outlined in AcG-20, Customer's Accounting for Cloud Computing Arrangements, for recognizing cloud computing arrangements with suppliers. During the year, the Church expensed $20,122 (2025 - $23,016) related to these arrangements. These expenses are presented under the "Audio, video and media" line on the statement of operations.

10. financial instruments

Risk Management - The significant risks to which the Church is exposed are interest rate risk and liquidity risk. There has been no change to the risk exposures from the prior year.

Interest Rate Risk - The Church's interest-bearing liabilities include long term debt and notes payable.

The Church has fixed interest rates on the long term debt. Consequently, the exposure to fluctuations in future cash flows with respect to this instrument, as a result of changes in market interest rates, is limited.

Liquidity Risk - Liquidity risk is the risk that the Church will not be able to meet its obligations associated with financial liabilities. Cash flow from operations provides a substantial portion of the Church's cash requirements.